

LendSight

Insights & Strategic Recommendations | Credit Risk Analytics

1. Portfolio Health

Portfolio growth should always be evaluated alongside exposure and credit quality. Total loans, disbursed value, EAD, default and recovery provide the management view required to distinguish healthy growth from risk accumulation.

Recommendation

Establish recurring executive monitoring of portfolio growth, EAD, default and PAR with clear escalation thresholds.

2. Early Delinquency Intervention

DPD progression provides an opportunity to identify borrowers before accounts reach severe delinquency. Monitoring DPD and PAR movement enables collections teams to intervene earlier.

Recommendation

Create stage-based collection playbooks, prioritising early-stage delinquency before accounts migrate into severe PAR buckets.

3. PAR Escalation

PAR30, PAR60, PAR90 and PAR120+ provide increasing levels of delinquency severity. The SQL analysis also extends the view to PAR180.

Recommendation

Track migration between delinquency stages and align operational actions with severity and exposure.

4. Vintage Quality

Vintage/MOB analysis compares cohorts over their repayment lifecycle. The SQL groups cohorts by disbursement month and MOB and calculates default rates, supporting identification of weaker origination periods.

Recommendation

Use cohort deterioration as an input into underwriting, product and acquisition-policy reviews.

5. Recovery & Loss

Recovery performance directly affects loss severity. The SQL calculates recovery rate and LGD from recovery amount and EAD.

Recommendation

Prioritise collections using exposure, delinquency severity, repayment behaviour and recovery potential.

6. Customer-Level Risk

Repayment history and customer segmentation can support differentiated interventions and future lending decisions.

Recommendation

Use risk-based limits, monitoring and collection strategies while ensuring production decisions are governed by appropriate credit-policy controls.

7. Strategic Roadmap

- Phase 1: KPI governance and recurring portfolio monitoring.
- Phase 2: Automated refresh, access control and production RLS.
- Phase 3: Predictive PD, LGD and ECL modelling.

- Phase 4: Forecasting, stress testing and scenario analysis.
- Phase 5: Cloud-based data infrastructure and production monitoring